

potential (Tesla, anyone?). Additionally, some could think of finding simple technical rules, and their use in preventing extreme drawdowns, as heresy. If moving average rules have not worked recently, they probably never work, right?

And why not hedge funds? Many believe there are good reasons to invest in hedge fund products. They provide a source of uncorrelated returns, and thus, diversification from the volatile markets we live with. It's also possible to identify the best managers as long as you are willing to incur the blood, sweat, and tears to research every single one. For some, the tax consequences, lock-up of capital, and fees of hedge funds can be managed. As for us, we don't like paying taxes, we like having access to our hard-earned wealth, and interviewing hedge fund managers all day isn't necessarily our favorite thing to do.

Our book also ignores the newest “innovations” on Wall Street that claim to exploit various advancements in portfolio management. There may be some merit lurking in these frontiers of finance; however, we simpletons like exactly that: keeping it simple. This book scratches the surface on these opportunities, but does not explore them in detail. For those with the resources and time to explore these opportunities, they may be viable.

Most importantly, let us not forget the qualitative aspects of investment and the value that some place in experience when it comes to finance. No matter what data we may find, or empirical evidence we can produce, some humans will always revert toward an “expert” opinion. A study of 250 seasoned investors determined that approximately two-thirds agreed with this statement: “As a forecasting task becomes more complex and difficult, I tend to rely more on judgment and less on formal, quantitative analysis.”² If the experts leverage judgment and experience, shouldn't we do the same? Many continue to believe that experts beat simple models. The data certainly don't support this hypothesis, but as Wes's father used to say on their cattle ranch: “You can lead a horse to water, but you can't make him drink.”

We want to warn potential DIY investors that the fully integrated investment approach we present in [Chapter 9](#) is not perfect, but it is robust, and we believe the model works for a large group of investors seeking to preserve their capital and capture some upside. We've purposely left out